IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI, COURT-III

Item No. 7
CAA-124(ND)/2022

IN THE MATTER OF:

Hrutvy Traders Pvt Ltd.

With

Bert Marketing Pvt Ltd.

SECTION

230 – 232 of Companies Act, 2013

Order Pronounced On: 28.04.2023

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

SHRI ATUL CHATURVEDI, HON'BLE MEMBER (TECHNICAL)

APPEARANCES:

For the Applicant : Mr. Naresh, Advocate.

ORDER

Order pronounced in open court vide separate sheets. CAA-124(ND)/2022 stands ***allowed***.

SD/-
(ATUL CHATURVEDI)
MEMBER (TECHNICAL)

SD/-
(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH (COURT- III)

C.P. (CAA) 124/ND/2022
IN
C.A. (CAA) 80/ND/2022

IN THE MATTER OF SCHEME OF AMALGAMATION:

AMONGST

HRUTVY TRADERS PRIVATE LIMITED

....PETITIONER/TRANSFEROR COMPANY

WITH

BERT MARKETING PRIVATE LIMITED

....PETITIONER/TRANSFEREE COMPANY

ORDER DELIVERED ON: 28.04.2023

In Section: 230 to 232 of the Companies Act, 2013

CORAM:

SH. BACHU VENKAT BALARAM DAS HON'BLE

MEMBER (JUDICIAL)

SH. ATUL CHATURVEDI

HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : Mr. Naresh Kumar, Advocate

For Income Tax : Mr. Kunal Sharma, Advocate

For RD : Ms. Shankari Mishra, Advocate

FOR OL : Ms. Hemlata Rawat, Advocate

ORDER

PER: ATUL CHATURVEDI, MEMBER (T)

1.This Petition is preferred jointly by the Transferor Companies and Transferee Company under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for the purpose of the approval of the Scheme of Amalgamation (hereinafter referred to as 'Scheme' for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs.

2. Hrutvy Traders Private Limited Corporate Identification No. (CIN): U74999 DL2004PTC128751 Income Tax Permanent Account No. (PAN): AACCK5700 C is a Company incorporated under the provisions of the Companies Act, 1956, and having its registered office at Khasra No.216, Village Gadaipur, New Delhi-11 0030 South Delhi.

3. Bert Marketing Private Limited Corporate Identification No. (CIN): U52322 DL2001PTC112947; Income Tax Permanent Account No. (PAN): AAECB7472 Q is a Company incorporated under the provisions of the Companies Act, 1956, and having its registered office at F-6/5, Basement, Vasant Vihar, New Delhi South Delhi-110057.

4. The present Petition has been filed by Transferor Company and Transferee Company Jointly. Since the Registered offices of the Petitioner Companies is situated in Delhi, the jurisdiction lies with this Bench.

5. From the records, it is seen that the First Motion petition was filed by the Applicant Companies for seeking directions for dispensing with the meeting of Equity Shareholders, and Unsecured Creditors of the Applicant Companies. This Tribunal, in the First Motion Application bearing No. CA (CAA) No. 80 (ND) 2022, vide Order dated 04.10.2022 read with 28.11.2022 dispensed the meeting of Equity shareholders, and Unsecured Company of the Applicant company. There are no secured creditors in both the companies.

6. Subsequent to the order of dispensation of meetings in relation to the Transferor Companies, the Second Motion petition was moved by the Petitioner Companies in connection with the Scheme of Amalgamation for issuance of notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator, Reserve Bank of India and other sectoral regulators who shall be affected by the proposed Scheme and to such other Objectors, if any, and also for publication of notice in respect of the said Scheme. The said petition was admitted and directions were issued, by this Tribunal requiring the Petitioner Companies to serve notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator and other sectoral regulators likely to be affected by the said proposed Scheme and also to carry out necessary publication in English and Hindi newspapers with respect to the said Scheme.

7. It is submitted by the Petitioners that in compliance of the above stated directions, the Petitioners duly filed an Affidavit of Service by confirming that the aforesaid Notices of the present Company Petition were published in Business Standard (English) and (Hindi) newspapers Delhi edition. It is further submitted that the Petitioner Companies also served the Notices of the present company Petition to all the statutory authorities.

8. The Income Tax Department vide it's report dated 25.02.2023 submitted to this Tribunal stating therein that they have no objection with respect to the present Scheme of arrangement.

9. The Regional Director vide his report dated 17.02.2023 has not objected to the proposed scheme but has made certain observations. The petitioner company had filed reply dated 27.02.2023 in response to the observations made by the Regional Director, under wherein the petitioner companies provided the required clarification with respect to the observations made by the Regional Director. The details are given below:

Observations of Regional Director	**Reply of the Petitioner Companies**
1. As per Audited Financial Statement of the Transferor Company for the FY 2020-21, it is seen that that company has given	1. With respect to the observation raising contention regarding the compliance of section 185 of the Companies Act, 2013, this is to

intercorporate loans & advances amounting to Rs. 6,68,89,450/- Hence, company may be asked to clarify regarding the compliance of section 185 of the Companies Act, 2013.	submit that Section 185 is not applicable on the Transferor Company -Hrutvy Traders Private Limited vide Notification Dated 5th June, 2015.
2. With respect to the Transferee Company, as per the shareholding pattern and capital structure it is observed that the company has subsidiary company as well as associate company. The company need to comply with the provision of section 129(3) read with section 129(2) and section 137(1) of companies Act, 2013	2. The Transferee Company has neither any subsidiary company nor any associate company as on 31/3/2022 and thus applicability is not there for sections quoted in observations.
3. It is mentioned in the clause no. 05 of the scheme that scheme would be operative from the appointed date. However, as per section 232(6) the scheme would be effective from the appointed date.	3. With respect to observations raised, with respect to the appointed date, Section 233(6) provides that the scheme should be considered as per the procedure laid down in section

	232 (6) for the appointed date. The same is also intended by clause 1.1 (d) of the approved scheme of amalgamation.
4. Transferee Company should comply with provisions of Section – 232(5)(i) of the companies Act, 2013 regarding fee payable of its Authorised Share Capital	4. Transferee Company will comply as observed.

10. The Official Liquidator vide it's report dated 03.02.2023 submitted to this Tribunal stating therein that they have no objection with respect to the present Scheme of arrangement.

11. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of all the Companies to the proposed Scheme and also in the view of the fact that no sustainable objections have been raised by the Office of the Regional Director, Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme proposed for amalgamation.

12. Accordingly, in sequel to the above facts and circumstances, sanction is hereby granted to the Scheme of Amalgamation proposed by the Applicant Company under Section 230 to 232 of the Companies Act, 2013.

13. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Company and Transferee Company and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

14. Notwithstanding the above, if at any stage any deficiency is found or violation committed qua any enactment, statutory rule or regulation is found to be committed, the sanction granted by this Tribunal to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Applicant Company.

15. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law will be made. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defense for the Applicant Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

16. This tribunal further directs with respect to Transferor company and Transferee company, that:

(i) Upon the sanction becoming effective from the appointed date of amalgamation and arrangement i.e., 1st April, 2022, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Companies are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company

with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Companies shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vii) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

17. Further, the petitioner companies shall within thirty days of the date of the receipt of this Order, cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being so delivered, the Transferor Companies shall be dissolved and the

Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

18. The Company Petition bearing ***(CAA) 124 (ND) / 2022*** is allowed in the above terms.

SD/-	**SD/-**
ATUL CHATURVEDI	**BACHU VENKAT BALARAM DAS**
MEMBER (T)	**MEMBER (J)**